

CHAPTER 6

OUR BETA BETS

This chapter explores our “beta” bets. Remember, you can make money by guessing right about a stock. But you can make a fortune by guessing right about a major trend. Then, you take your time, giving the market time to tell its story. When you’re sure you have the story right, you invest heavily for a long time.

Taking the world and the future together, we might choose among millions of beta possibilities. Will the Chinese begin to wear more hats? Perhaps we should invest in a haberdashery in Shanghai? Will an aging population begin to take more pleasure cruises? Maybe investing in the holiday cruise industry is a can’t-lose proposition. Or how about India? Is it not inevitable that the world’s largest democracy will flourish—or at least grow marginally richer over the next half a century?

So many possibilities. So little time.

The danger with these sorts of macro guesses is that they depend on rather sketchy and imperfect information. Nietzsche called attention to it. There are two kinds of knowledge, he pointed out. There is the knowledge you get from the bottom up—*erfahrung*. And there is the knowledge you get from the top down—*wissen*. *Wissen* is what “everybody knows,” the kinds of things you find in the newspapers, for example. *Erfahrung* is the result of direct experience and personal inquiry. It’s what you discover on your own. What you know to be true from personal observation.

Of the two forms of knowledge, *erfahrung* is usually much more profitable. All very well to know that ice cream consumption is going up. But more valuable to know that Joe’s Ice Cream Shoppe on the corner of Broad and Dupont streets doubled its sales last year.

Most beta bets are based on *wissen*. And a lot of what people know to be true turns out to be not true at all. That is why you have to choose your beta